

Chapter – 12: Understanding Markets

Prosperity emanates from the market that develops when people need goods and services that they can't create themselves. – Adam Smith, 18th century economist

What is a Market?

- Place – people – buy, sell goods – market – also known – bazaar, haat (Hindi), *marukatte* (Kannada)
- Market – phy. space or online – as popular today
- Goods, services – available – individuals, households, businesses – markets
- Long time – people – relied on markets – fulfil – needs, wants – goods, services
- Markets – connects – people, traditions, ideas
- Example – market – 16th cent. – **Hampi Bazaar, Karnataka** –
 - Hampi Bazaar, Karnataka – prosperous market – Vijayanagara Empire – centre – flourishing **trade**
 - Bazaar – opp. to Virupaksha Temple
 - Abundance, prosperity – city – describes – foreign accounts
 - Portuguese traveller – Domingos Paes – called Hampi – best provided city – wide variety of products – grains, seeds, milk, oil, silk, animals – cows, rabbits, horses, even birds – quails, partridges
 - Another Portuguese traveller – Fernao Nuniz – wrote – craftsmen – working in streets – golden jewels, gewgaws – rubies, diamonds, pearls, other stones – cloths made of cotton
 - Also says – this country – so barren – YET – abundance of everything
- Certain features – req. – place to be market – buyer, seller – agree on **price** – transaction takes place
- Price – imp. feature – completing transaction
- Often – buyers, sellers – negotiate, bargain – arrive – acceptable prices

Prices and Markets

- Seller – want to sell – guava – Rs. 80 per kg
- Buyers – not want to buy – this price
- Buyer – finds the price – very high – ask for price – willing to pay – BUT – seller – not willing to pay – might not be profitable
- Buyer, seller – negotiate – mutually agreeable price
- Example –
 - Seller – sets price to Rs. 80 per kg – no one buys
 - Seller – reduces to Rs. 20 per kg – all sold – BUT – no profits
 - Seller – sets price to Rs. 40 per kg – people buy happily – seller makes profit
- Over time – amt. of goods – offered by sellers – req. by buyers – help – decide price of goods – just right

Markets Around Us

- Markets – everywhere – various forms

Physical and online markets

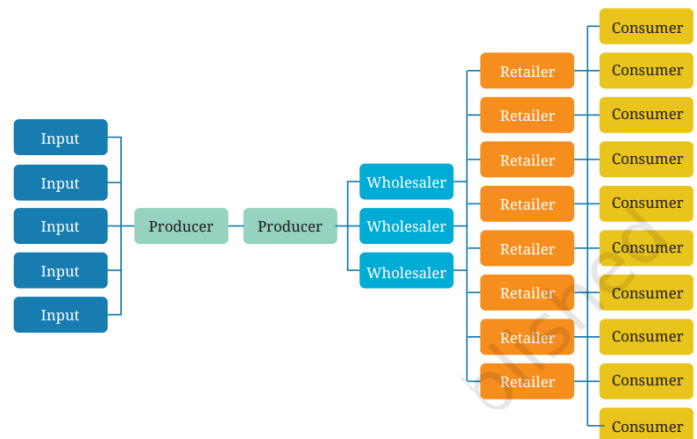
- Physical market – buyers meet sellers physically – purchase goods, services – exchange of money
- Includes – weekly markets, haats – vendors – sell vegetables, handicraft, other essential items
- Local markets – shops, vendors – selling street food, knick-knacks, etc.
- Multistorey buildings – malls – cities, towns – large areas – stores inside
- Today – buyers, sellers – no need – meet physically – can transact – 1000s of kms away
- Transact online – use apps, websites – wide variety – goods, services
- Goods – books, clothes, furniture, electronic items – delivered to doorsteps
- Manufacturers – buy raw material – input for goods
- Apart from goods – services – also online – payment – also online
- Other markets – no goods, services – share, stock market

Domestic and international market

- Market – goods, services – bought, sold – within geographical boundaries of country – domestic market
- Example – print this book – paper – big paper mills – all over India – transaction – within country
- International market – outside nation's boundary
- Sellers – one country – **export** products – another country
- Buyers – one country – **import** products – another country

Wholesale and Retail Markets

- Several participants – play role – smooth functioning – market
- Case – phy. market – wholesalers – buy goods – large qty. – from producer, manufacturer
- Example – grains, vegetables, fruits – brought by wholesalers – from farms
- Produce – stored – large warehouses – godowns
- Case – perishables – warehouses – **cold storage** – brought to markets – *mandis*
- Also exist – wholesale markets – other commodities – clothes, electronic items, components, construction materials, automotive parts, etc
- Wholesalers – supply goods – shops, stores – shopkeepers – retailers – sell goods – final consumers – us
- Retailers – sell small qty. – products – consumed – instead of resale
- Retail stores – services – salons, theatres, restaurants
- Some cases – difficult – wholesalers reach retailers – **distributors** – bridge this gap
- Distribution channel – diff. – online markets
- Manufacturers – send bulk qty. – warehouse of inline business – sell through online apps
- Consumers – buy product – online option – these businesses – **aggregator** – packs and then delivers
- Chain of supply – phy. markets –
 - Textile market – Surat, Gujarat – Asia's oldest market – city – textile hub
 - Surat textile market – 1000s of factories – manufacture – cotton, synthetic textile
 - Cotton textiles – raw cotton – cotton *mandis* – nearby states – Maharashtra
 - Raw cotton – transformed – finished fabric, garments – after processing – various stages
 - Product – one stage to another – diff. markets – fabric, dyed fabric, finished product



- Finished product from fabric – traded – manufacturing units – wholesale market
- Wholesalers – imp. channel – supply – oversee – distribution – small shopkeepers, big retail stores
- Wholesalers – also assess – demands of retailers – helps maintain stock – ensure proper supply

The Role of Markets in People's Lives

- Markets – imp. role – people's lives – helps transactions – b/w buyer, seller
- Helps – people access goods, services – need and cannot produce
- Aakriti – professional artist – creates oil paintings on canvas – difficult – find buyers – worried – where to sell – what price to offer
- Many other products – no ready market – affects buyer, seller

How markets benefits society

- Producers – get indications – what customers would buy – produce refrigerators – use less electricity
- Benefit to society – energy-efficient refrigerators
- Buying, selling – economic act. – monetary exchange – interactions in markets – beyond enquiring or negotiations
- Often – relationship develops – b/w buyer, seller – continues for generations
- Some families – long relations – tailor, jeweller, doctor – decades
- Many families – maintain account – local grocer – settled – month end
- Primary role – market – promote economic act. – also – non-economic significance – many people's lives

Government's Role in the Market

- Market – func. – interactions – **demand** of buyers – **supple** of sellers
- Some situations – this may not work – govt. – imp. role – such situations
- Monitors – interaction – b/w consumers, producers – fair settlement of price

Controlling prices for protecting buyers and sellers

- Gov.t – control prices – certain goods – example – set max. price – seller can charge
- Several essential goods, services – lifesaving drugs – upper limit – their prices
- Another example – govt. – set min. price – agricultural products – wheat, paddy, maize
- Govt. – sets min. wages – work done by employees – employers make fair payments
- Govt. – carefully implement – price limits – price – too low – producers – no motivation to produce – too high – consumers at disadvantage

Ensuring quality and safety standards

- Govt. – imp. role – ensure welfare – consumers – protect them – unfair practices
- Govt. ensure – manufacturers follow – req. quality, safety std. – produce goods, deliver services
- Example – pharma companies – manufacture medicine – treat diseases
- Govt. – set procedures – approval of medicines – conduct sample testing – check if it meets std.
- Regulations – ensure – quality, safety – hence – no risk – consumers' health

Mitigating the external effects of markets

- Markets – significant effects – beyond buying, selling

- Example – markets – certain goods – req. – production in factories – pollute environment
- Govt. – crucial role – understanding, controlling such effects
- Example – manufacture – certain items – single-use plastics – pollutes env. – pose health risk
- Such cases – govt. intervenes – implementing strict regulations
- Govt. – place sys. – monitor – weights, measures – packaged products – check net qty.
- Govt. – make sure – markets – fair – consumers – not exploited – BUT – too many rules – difficult – market – func. properly

Providing public goods

- Producers – make, sell – goods, services – make a **profit**
- BUT – some goods, services – no profit to be made – public parks, roads, policing
- Citizens – rights – certain welfare provisions – govt. provides – **public goods**, services

How can consumers assess the quality of products and services?

- Markets – enable access – wide variety – goods, services – how to decide – what to buy
- Every consumer – access quality of products – buying
- Suppose – parents ask – buy 1kg gram floor – nearby grocer
- At the shop – diff. type of packets – available – like shown
- Notice – FSSAI logo
- **FSSAI** – Food Safety and Standards Authority of India – its symbol – food packets, cartons – indicate – food – tested by govt. – safe to consume
- Govt. agencies – provide certifications – helps buyers – assess quality
- Their presence on products – indicate – product – fulfill min. quality std.
 - **ISI** – Indian Standard Institution – issued by – Bureau of India Standards (BIS) – present on – electrical appliances, construction materials, tyres, etc.
 - **AGMARK** – ag for agriculture – certification for agricultural products – vegetables, fruits, cereals, pulses, spices, honey
 - **BEE STAR rating** – Bureau of Energy Efficiency – present on – electronic items – TVs, laptops, air conditioners – higher stars – appliance – less energy – good – less electricity bills – good for env. as well
- Purchase decisions – buyers – influenced – reputation – of product – word of mouth

